Loss by	₹Crores	Rationale
TOTAL	1,28,400	

Source: Research Note by Centre for Monitoring Indian Economy (CMIE), January 2017

As per the RBI Annual Report 2017, just the cost of printing new notes was ₹7,965 crore in 2016–17. In addition, RBI's domestic earnings dropped sharply as it had to pay interest of ₹17,426 crore for mopping up excess liquidity in the banking system following demonetization. The previous year, RBI had earned interest of ₹506 crore in its liquidity management operations. This additional interest cost has not been considered in the CMIE calculation.

Mahesh Vyas, Chief Economist and CEO of CMIE, explained that this was an extremely conservative estimate and limited to only the 50-day demonetization period. He went on to add, 'The impact of low liquidity, broken supply chains, and loss of confidence in consumers are likely to impact the economy over a longer period.'[2]

Medium-term Economic Impact

There are no similar quantified estimates on the medium-term economic costs of the note ban. However, there can be no doubt that the move resulted in a sharp contraction of economic activity across the economy, particularly affecting Micro, Small, and Medium enterprises (MSMEs) and those in the informal sector. This section puts forth the economic impact of demonetization as measured by quantifiable data, covering the period up to August 2018, on three key economic indicators, namely:

- Impact on India's Gross Domestic Product (GDP)
- Impact on Jobs
- Impact on Investment and Savings